AD-HOC OPINION · JAPANESE TRADING HOUSES

Mitsui & Co.: generous cash returns, still driven by commodities

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IMPORTANT NOTICE

This note sets out facts and points to consider on Mitsui & Co. It is for information only. It is not a recommendation to buy, sell or hold the shares and does not take any investor's personal situation into account. Prices are as of the close on 23 October 2026. Company figures are from Mitsui's publications up to its first-quarter results for the year to March 2027, released on 4 August 2026.

Japan's trading houses: from deep value to a cash-return story

What a trading house is today

Japan's five large trading houses (Mitsubishi Corporation, Mitsui & Co., Itochu, Sumitomo Corporation and Marubeni) started out as importers and exporters. Today they work more like diversified investment groups. They own stakes in mines, LNG and oil projects, power and infrastructure, chemicals, food, retail, healthcare and new technologies, and they trade around these assets.

Their earnings combine two parts. Resource businesses swing with iron ore, coal, copper, oil and gas prices. Non-resource businesses are steadier but grow more slowly. The share of each in profit largely explains how sensitive each house is to the commodity cycle.

Why investors looked again

Two forces changed how the market sees the sector. Since 2020, Berkshire Hathaway has built stakes in all five houses. At the end of 2025 it held 10.4% of Mitsui, according to press reports. In September 2026, press reports said Berkshire was considering raising these stakes. At the same time, the Tokyo Stock Exchange has pushed listed companies to improve capital efficiency and returns to shareholders. The trading houses responded with higher dividends, regular buybacks and return targets set against cash flow.

Where Mitsui stands

Mitsui is one of the most resource-weighted houses. In the year to March 2026, its Mineral & Metal Resources and Energy segments together earned about half of group profit (Syz calculation from company figures). Iron ore, mainly from Australia, is its largest single earnings driver. It also has large positions in LNG, copper and a stake in Vale.

Profit has eased from the record of the year to March 2023 as commodity prices normalised. In May 2026, Mitsui set out a new medium-term plan to March 2029. It targets profit of JPY 1.1 trillion, core operating cash flow of JPY 1.2 trillion and a return on equity of 12%. It also set a dividend floor and committed to return around half of cumulative core operating cash flow to shareholders.

WHAT THIS MEANS FOR INVESTORS

The sector is no longer the overlooked, below-book-value story of 2020. Shares in Mitsui now reflect a more visible return policy and a strong anchor shareholder. The earnings behind those returns still depend to a large extent on commodity prices and the yen. Anyone looking at the stock should weigh both parts.

AD-HOC OPINION · COMPANY PROFILE

Mitsui & Co. (8031 JP)

A record first quarter, an unchanged full-year plan and a new JPY 200 billion buyback

Share price	Market value	P/E on FY3/27 plan	Dividend yield
JPY 4,942	**≈ JPY 14.0 tn**	**≈ 15x**	**2.8%**
Close, 23 October 2026	About 2.83 bn shares	Syz calculation	JPY 140 dividend floor

1. What the company does

Mitsui is a trading and investment group active in metals and mining, energy, machinery and infrastructure, chemicals, steel products, lifestyle (food, retail, healthcare) and innovation. In the year to March 2026 (FY3/26), profit attributable to shareholders was JPY 834.0 billion and core operating cash flow JPY 978.9 billion. Mineral & Metal Resources earned JPY 253.6 billion (iron ore, coal, copper and JPY 43.5 billion of Vale dividends) and Energy JPY 164.2 billion.

2. Why it could do well

The first quarter of FY3/27 brought record profit of JPY 294.1 billion, up from JPY 191.6 billion a year earlier and 32% of the JPY 920 billion full-year plan. The plan was left unchanged. The medium-term plan targets profit of JPY 1.1 trillion and an ROE of 12% by FY3/29, with a 2030 ambition of more than JPY 1.4 trillion. New capacity should support this. Mozambique LNG, where Mitsui holds 20%, fully restarted in January 2026, with first LNG expected in 2029.

3. What sets it apart

Mitsui has a clear framework for returning cash:

- around 50% of three-year cumulative core operating cash flow returned to shareholders
- a dividend floor of JPY 140 a year from FY3/27 to FY3/29, up from JPY 115 in FY3/26
- a minimum total payout ratio raised to 40% from 37%
- a buyback of up to JPY 200 billion or 60 million shares from 5 August 2026 to 29 January 2027, of which JPY 11.25 billion had been bought by the end of August

Berkshire Hathaway is a long-term anchor shareholder.

4. Is the share cheap?

Less so than a few years ago. The share has gained about 31% over twelve months. At JPY 4,942, it trades at about 15 times the FY3/27 plan and about 17 times FY3/26 earnings per share of JPY 291.12. It also trades at about 1.5 times book value. The JPY 140 dividend gives a yield of 2.8%. The buyback adds about 1.4% of market value, so total cash returns come to about 4.2% (Syz calculations). The valuation now rests more on Mitsui delivering its 2029 plan than on a discount to assets.

5. Main risks

- **Commodities.** Each USD 1 per tonne on iron ore moves annual profit by about JPY 3 billion. Oil and LNG feed through with a lag of up to six months. The plan assumes Brent at USD 78 and a normalisation of the Middle East situation by the second quarter.
- **Yen.** Each JPY 1 move against the dollar changes profit by about JPY 4.6 billion. A weaker yen helped the first quarter, and a stronger yen would work the other way.
- **One-off gains.** Part of the first-quarter strength came from gains on investments. Innovation & Corporate Development reached 93% of its full-year plan in one quarter, and such gains do not recur every quarter.
- **Projects and geopolitics.** Mozambique LNG carries security and execution risk. Mitsui's Russian LNG interests (Sakhalin-2, Arctic LNG 2) remain exposed to sanctions.

6. What to watch next

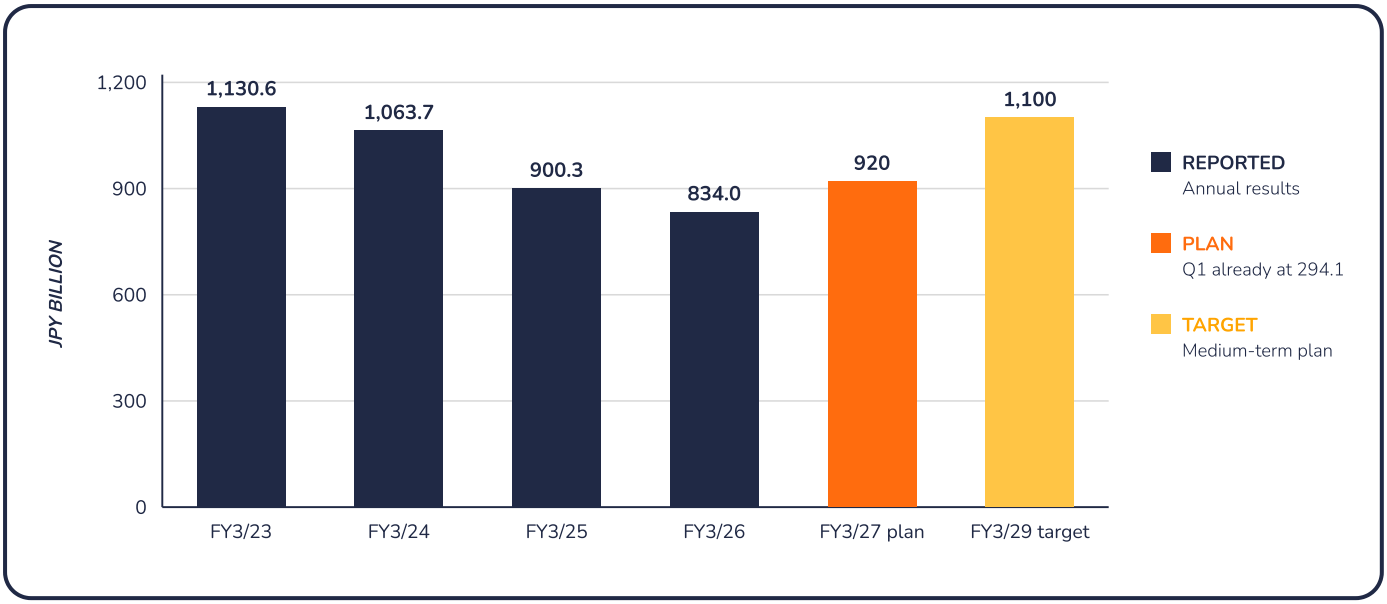
The first-half results on 4 November 2026 will show whether the JPY 920 billion plan is revised. Other points to follow are the pace of the buyback until January 2027, iron ore and LNG prices, the yen, and any change in Berkshire's stake.

CONCLUSION

Mitsui gives an investor a broad portfolio with commodities at its core, a well-defined return policy with a dividend floor, and an anchor shareholder. Against this, the shares have already re-rated, the first quarter was flattered by one-off gains, and the earnings path still depends heavily on iron ore, energy and the yen. The main question is less the next quarter than how much confidence one places in the 2029 plan, and how much commodity-cycle volatility one is ready to accept.

Chart 1 · 8031 JP: profit has normalised, the plan points back up

Profit attributable to owners of the parent, JPY billion, fiscal years ending March. FY3/27 is the company's business plan, FY3/29 its medium-term target.



Source: Mitsui & Co. annual results and Medium-term Management Plan 2029, Syz Research

FY3/27 BUSINESS PLAN AND SENSITIVITIES

ITEM	COMPANY FIGURE
Profit attributable to shareholders	JPY 920 bn
Core operating cash flow	JPY 1,050 bn
Brent assumption	USD 78 / bbl
Iron ore, per USD 1 / t	≈ JPY 3.0 bn
USD/JPY, per JPY 1	≈ JPY 4.6 bn
AUD/JPY, per JPY 1	≈ JPY 1.8 bn

Source: Mitsui & Co. FY March 2026 results presentation (1 May 2026)

SHAREHOLDER RETURNS

ITEM	COMPANY FIGURE
Dividend FY3/26	JPY 115
Dividend floor FY3/27 to FY3/29	JPY 140
Minimum total payout ratio	40%
Returns over the plan	≈ 50% of core OCF
Buyback, Aug 2026 to Jan 2027	≤ JPY 200 bn
Bought in August 2026	JPY 11.25 bn

Source: Mitsui & Co. publications (1 May, 4 August and 1 September 2026)

READING THE NUMBERS

The FY3/27 plan implies profit of about JPY 626 billion over the last nine months of the year, after JPY 294.1 billion in the first quarter. This is below the first-quarter run rate. The difference reflects one-off gains in the first quarter and the company's commodity and currency assumptions (Syz calculation). How commodity prices and the yen have moved since the plan was set will largely decide whether it is revised on 4 November.

Sources

Mitsui & Co.: Financial results for the year ended March 2026 and results presentation (1 May 2026); Medium-term Management Plan 2029 (1 May 2026); first-quarter results for the year ending March 2027 and share buyback announcement (4 August 2026); buyback progress notice (1 September 2026). TotalEnergies: Mozambique LNG full restart press release (29 January 2026). Press reports on Berkshire Hathaway's stakes in the Japanese trading houses (end-2025 holdings and September 2026). Market data for share price, market value and price to book. Syz Research calculations: segment share of profit, P/E, dividend and buyback yields, profit implied for the remaining nine months.

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